



3 CRUCIAL ANSWERS ABOUT

CAPITAL CAM



WHAT IS THE DIFFERENCE BETWEEN ANNUAL & CAPITAL CAMPAIGNS?

With Hashem's help and the Rebbe's brochos, we as shluchim continue to increase the quality and quantity of our work. At times, we feel the time is ripe to take our shlichus to the next level, to the tune of a major project, such as the building of a Chabad House, mikvah, school, or the like. Before taking this step, it is crucial that we take the time to evaluate our financial standing and determine whether and how to embark on a capital campaign. The following article addresses three significant questions we must ask ourselves before jumping in.¹

1. See *Compass Magazine* vol. 17, p. 56 for reflections on the Chabad House-building experience from a panel of shluchim and shluchos.

AN ANNUAL CAMPAIGN is usually an organization's primary source of unrestricted contributed income and should be a mainstay of its fundraising efforts. The goal of the campaign is to raise a fixed amount for the current fiscal year. The goal amount is usually based on how much was raised during previous years. Usually, the higher the amount you need to raise, the more potential you have to do so.

When fundraising for your annual campaign, you are seeking a commitment of an amount relative to your need. Most of the solicitations will be done only by you and to people with whom you already have a relationship. The goal of each fundraising meeting is that the donor make a commitment, which is to be paid within the same fiscal year. The donor typically knows enough about what you do or has enough trust in your organization in order for him to be comfortable giving you what you are asking, more or less. Whatever sum the donor agrees upon is the amount you will receive. You will not solicit him for the remaining duration of the fiscal year, with *rare* exceptions only. Based on all the above, there is no need to have the donor sign a written note or pledge card.

A CAPITAL CAMPAIGN is an intensive fundraising effort designed to raise a specified sum of money within a defined time period to meet the needs of a particular project or cause. You are seeking a far more substantial amount, also relative to your need, but at least ten times the funds that are raised annually. As such, you will need to create a fundraising committee to help you reach out to new potential donors.

Because you are seeking larger donations, it may take several meetings over a period of several months to secure a commitment from a donor. Once pledged, the commitment may be paid over a period of several years. Often, the larger the commitment, the more time it will take for the donor to complete payment. As a capital campaign typically stretches over the course of a few years, you may return to a donor and request that he consider giving a larger gift than he already has.

Since you are seeking a (very) substantial amount, you will need to create a finance committee in order to give the donor the additional trust he may want before giving a substantial gift. You must obtain the donor's commitment in writing.

CAMPAIGNS



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A NOTE OF CAUTION



For those who have already entered or are about to enter a capital campaign without any professional guidance, here is the first and most important item to remember at all times: when making a solicitation to a potential donor for your capital campaign, you must make it very clear that this gift is above and beyond the annual campaign.

Many of the donors to your annual campaign will make substantial pledges to the capital campaign. If you do not clearly delineate the distinction between the two campaigns, they will view their gift as the fulfilment of their commitment to you for the year and will not contribute to the annual campaign. If that happens, you can pretty much close up shop; your bread and butter will have been eliminated and you will have no way to pay the day-to-day bills.

HOW DO YOU KNOW IF & WHEN YOU ARE READY TO ENTER A CAPITAL CAMPAIGN?

THERE ARE TWO PRIMARY areas to look into to help determine whether you are ready to enter a capital campaign: financial and vision.

FINANCIAL

The fundraising ladder begins with the annual campaign, works its way into the capital campaign, and then finally moves into the stages of planned giving, usually in the form of a will or endowment.

It is almost impossible to successfully enter a capital campaign if you don't have a strong, stable annual campaign. (This is unlike making some effort toward planned giving, which can be done regardless of your financial standing; people tend to leave money in a will because they believe in the vision of Chabad as a whole. See *Compass Magazine* vol. 16 for more on planned giving.)

There have been times when a shliach has asked me to work with him on a capital campaign, and, upon looking into his financial situation, I discover that he can't pay his monthly bills on a regular basis, there is a large debt to deal with, a check bounces every once in a while (or more frequently), he doesn't take a full salary regularly, and so on. Usually under those circumstances, I strongly recommend that the shliach take a year or two or even three to build a strong annual campaign and then revisit the possibility of starting a capital campaign.

Of course, there are exceptions

to the rule, such as a mega-potential donor willing to put up serious money, or a great financial deal, such as a foreclosure in the best location for your purposes, but that's the exception.

Here's the rule: *Do not* enter a capital campaign when your annual campaign is lacking financial stability. The thought of entering a capital campaign with the hope that through the capital campaign the annual will become stronger is a grave mistake. Most likely this will seriously damage the annual campaign instead of helping it.

Imagine entering a capital campaign without doing real homework on your financial situation. Because of your desire to move the capital campaign forward, you begin to take whatever money you have in the annual campaign and forward it toward the capital campaign. Your capital campaign is still stuck because the little money you brought in from the annual campaign doesn't really help much and you have completely dried up whatever monies you would have had for the day-to-day operations. In short, you're stuck everywhere.

You enter a capital campaign only after having a few years of financial stability, meaning you pay bills and salaries (including yours) regularly and on time, you *never* bounce a check, and you have no debt, all because you have a reliable base of annual donors.

One last item: you must have some money as a surplus before you can think of a capital campaign. This is because you will need money even before you formally launch a capital





campaign, be it for an independent appraiser, consulting a zoning lawyer, preparing initial architectural plans, and so on.

After analyzing your financial situation and conclude that you are financially stable, you can now consider entering a capital campaign. The only question is going to be how large a campaign you are ready to undertake. The accepted formula is to multiply the amount you raise for your annual campaign tenfold. If you're raising \$250 thousand annually, you might consider entering a capital campaign of \$2.5 million, or even as much as \$3 million. (It is important to note that the \$250 thousand we have just mentioned is not your overall annual budget but rather the amount you actually raise through your fundraising efforts.)

In 5745, I wrote to the Rebbe regarding the purchase of a rather expensive building. It was being sold for \$300,000 and would require an additional \$400,000 for renovations and furnishings. The Rebbe responded, "באם יש סיכויים טובים על פי טבע להשיג האמצעים, להתעניין בה'ל'."

This forced me to take a serious look at the list of all my key baalei batim and to try to project how much they would give if I were to solicit their participation in the capital campaign. (In the professional world this is called "market research.") Once I did that—and, of course, I had to remember that the calculation needed to be based al pi teva—I came to the realization that there just wasn't enough support on the table to launch this campaign. Eventually, we ended up buying a building at \$150,000, mortgage free.

So, even after knowing the general formula, you must take a serious look at all your key baalei batim to come up with the most realistic amount you can hope to receive from each. Based on that, you can come up with the final number of how large of a capital campaign you can launch.

Sometimes you might line up one specific individual who you believe might want to give a mega-gift toward a capital campaign. The first step would be to set up a meeting with him to find out whether he is indeed on board with you in the way you'd anticipated. If he is, you can responsibly launch a larger campaign than you had originally intended.

Once you have objectively ascertained that you possess financial stability, you are ready to determine whether you and your baalei batim share the same vision.

VISION

When you arrived at your place of shlichus, you asked no one what to do, how to do it, or when to do it. Rather, you went and began doing what you were trained to do: bringing Yidden closer to Yiddishkeit, be it through youth activities, adult educational programs, community events, social services, Hebrew school, a shul, or anything else. Slowly but surely, people in the community began supporting these activities because of what they saw and liked.

Launching a capital campaign is very different. Here you are coming with a project that will require lots of money and significant pledges in order to be successful. As such, the first item on your list is to get your baalei batim on board with the vision of your campaign. This is best



THE 90/10 RULE

In capital campaigns, 10% of your donors will be producing 90% of your goal (unlike annual campaigns, where 20% of your donors will be producing 80% of the goal). This means that a mere handful of people will really determine whether this campaign is feasible.

A WORD ABOUT PRICE

Usually when a seller sees that the buyer is anxious to buy, the price immediately is raised. As such, you may do yourself good to have others look into a property instead of you. This may make you more likely to pay a price that is closer to fair market value.

done by presenting the need, and then offering your vision as the solution.

Once, while at a meeting with a shliach and a group of his key baalei batim, one particular baal habos asked, “Rabbi, I’m here every Shabbos; how often are we crowded? Why the need to build a center five times the current size?”

You can’t force your vision on others. Even though you don’t have to listen to them, if your baalei batim don’t think you need a new huge building, they won’t come up with the money you need, and you won’t succeed in your campaign.

Sometimes, in order to get your baalei batim to share in your vision and make it their own, you may need to modify your project. The key baalei batim might already see the need for a solution but don’t buy into your vision as an acceptable solution due to the location, zoning, price, etc. This can cause a significant impediment to a campaign. I’ve witnessed firsthand a campaign going sour on more than one occasion because of serious differences of opinion in this regard.

Once you understand the difference between annual campaigns and capital campaigns, have done your homework to objectively determine whether you are ready for a capital campaign, and you and your baalei batim share the same vision for this project, you are now ready to take the first steps to create a formal capital campaign.

“Rabbi, I’m here every Shabbos; how often are we crowded? Why the need to build a center five times the current size?”

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HOW IS A CAPITAL CAMPAIGN SUCCESSFULLY LAUNCHED?

UNLIKE THE ANNUAL CAMPAIGN, the capital campaign requires much “pre-campaigning” prior to its formal launch.

Pre-campaigning is a general term and includes several items:

1

PUBLICIZING YOUR VISION

From the very beginning, even before doing anything concrete, you should be letting people know that purchasing a building or property for a Chabad House is very much part of your vision. *We hope to move the synagogue out of our living room and purchase a building that will also have classroom space and a social hall.*

2

PRE-SOLICITATION

Once your key baalei batim are on board with your vision, you should meet with each of them individually and let them know the ballpark cost of this project. You should then test the waters, inquiring as to what size gift they will commit to giving. It is important to let your baalei batim know that once you feel there is sufficient support to move ahead, you will prepare a full business plan listing *all* expenses, down to the furnishings, campaign expenses, and more, and then return to them for a formal

presentation and formal solicitation. *Are you on board for a six-figure gift?*

3

CREATING A FULL BUSINESS PLAN

The plan must be short, simple to understand, and include *all* potential expenses, including the first two years of additional operating expenses that will accrue once the building is up and running. It should also include all potential new income.

4

EVALUATING YOUR INFRASTRUCTURE

The final item to address before entering a full-fledged campaign is to take a look at your infrastructure: Are you ready to begin spending lots of time on this campaign? Who will take on some of your current responsibilities while you work on this new full-time job? How will you secure the annual campaign while entering the new capital campaign? *We may need to hire a new secretary.*

CAPITAL CAMPAIGNS are one of the most significant financial matters within shlichus. Sooner or later, almost every shliach needs one. As such, the best thing you can do now if you haven't yet is focus

on building a strong professional annual campaign. This will improve your position when launching a capital campaign. The above article is truly a drop in the bucket of what a capital campaign entails. We didn't touch on many important items, such as the groundbreaking ceremony, kick-off campaign, zoning, obtaining a mortgage, construction loan, cash flow, dedication opportunities, and, ultimately, the inauguration.

If you are about to enter a capital campaign or are already in the midst of one, make sure to seek professional guidance and direction. A small financial investment here may save you a lot of money and many headaches. 

